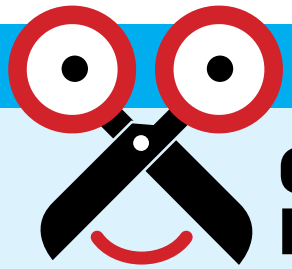
cific targets to facilitate easy access to credit and support to tackle non-tariff measures in the overseas market. To mitigate the US president's tariff war, the FM lowered import duty on motorcycles, both for engine capacities below 1,600 cc and above and some passenger vehicles. Duties were also cut on parts of mobile phones and LCD TVs. The ease of doing business was extended to exports too, with a proposal to build BTN, or Bharat-TradeNet, a digital public infrastructure for international trade that would serve as a unified platform for trade documentation and financing solutions. The budget also enlarged the scope of *aatmanirbharta* to 'Make for India, Make for the World'. Five National Centres of Excellence for skilling would be set up to train youth for this. There are also plans

EVEN AS SHE LAID THE ROADMAP FOR THE ECONOMY'S FUTURE, THE FM KEPT A FIRM EYE ON THE LARGER GOAL OF FISCAL CONSOLIDATION

to formulate a national framework to guide states in promoting global capability centres (GCCs) in emerging Tier 2 cities.

When it came to investments too, there were big decisions. The insurance sector was further opened up, with the proposal to allow 100 per cent foreign direct investment. For the energy sector, the budget took note of the government's focus on nuclear energy, proposing to establish a Nuclear Energy Mission for promoting R&D in small modular reactors (SMRs), with five indigenously developed SMRs to be operational by 2033.

However, even as the FM laid the roadmap for the future of the economy, she stuck to the path of fiscal consolidation and promised to keep the fiscal deficit to 4.4 per cent of the GDP in FY26. That would call for judicious spending. Read the following pages to find out all that was good in Budget 2025, and the specific sectors that benefited. ■



INCOME TAX

CONSUMPTION BONANZA

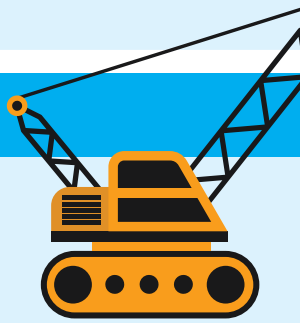
Budget 2025 reserved the biggest bonanza for India's middle classes, who had been complaining of a heavy tax burden for some time. Answering their prayers, Union finance minister Nirmala Sitharaman announced that those earning Rs 12 lakh per annum would now not have to pay any tax at all. Include the Rs 75,000 exemption salaried individuals get under the new tax regime, and that limit goes up to Rs 12.75 lakh. The budget also rationalised tax slabs, with the minimum rate of 5 per cent kicking in now at Rs 4 lakh instead of Rs 3 lakh earlier. Likewise, the highest rate of 30 per cent operates only on incomes above Rs 24 lakh per annum instead of Rs 15 lakh before. Meanwhile, the Centre is unveiling a new Income Tax Bill to bring tax certainty.

THE BENEFITS

Even though the new measures mean a loss of Rs 1 lakh crore in revenue for the government, they'll provide complete tax relief to 10 million Indians. Others will get benefits ranging from Rs 70,000 to Rs 1.1 lakh a year.

"Major changes in the personal income tax structure ease

The income-tax concessions put more money in taxpayers' hands, which is expected to boost consumption and growth



INFRASTRUCTURE

KEEPING UP THE TEMPO

The budget this year continued its focus on pumping money into heavy infrastructure sectors as a means to drive growth and create jobs. The railways have been allocated Rs 2.52 lakh crore to upgrade stations, finish track electrification and add to India's growing fleet of faster trains. Unwilling to tinker with what has been a success story for years, the highways sector received Rs 2.87 lakh crore to keep up its pace of annual road construction while devising ways to keep the mounting debt under control at the National Highways Authority of India. In aviation, regional connectivity

TO FAST-TRACK...

Budget allocation

RAILWAYS

₹2.52 lakh cr.

(Target: **100%** electrification by FY26)

AVIATION

Udaan scheme

₹540 cr.

(Target: **40 mn** additional flyers over the next decade)

HIGHWAYS

₹2.87 lakh cr.

(Target: **10,000 km** of national highways in FY25)

NHAI DEBT

₹**3.35** lakh cr. (FY24)

₹**2.76** lakh cr. (Expected in FY25)

(No new borrowings in FY26)